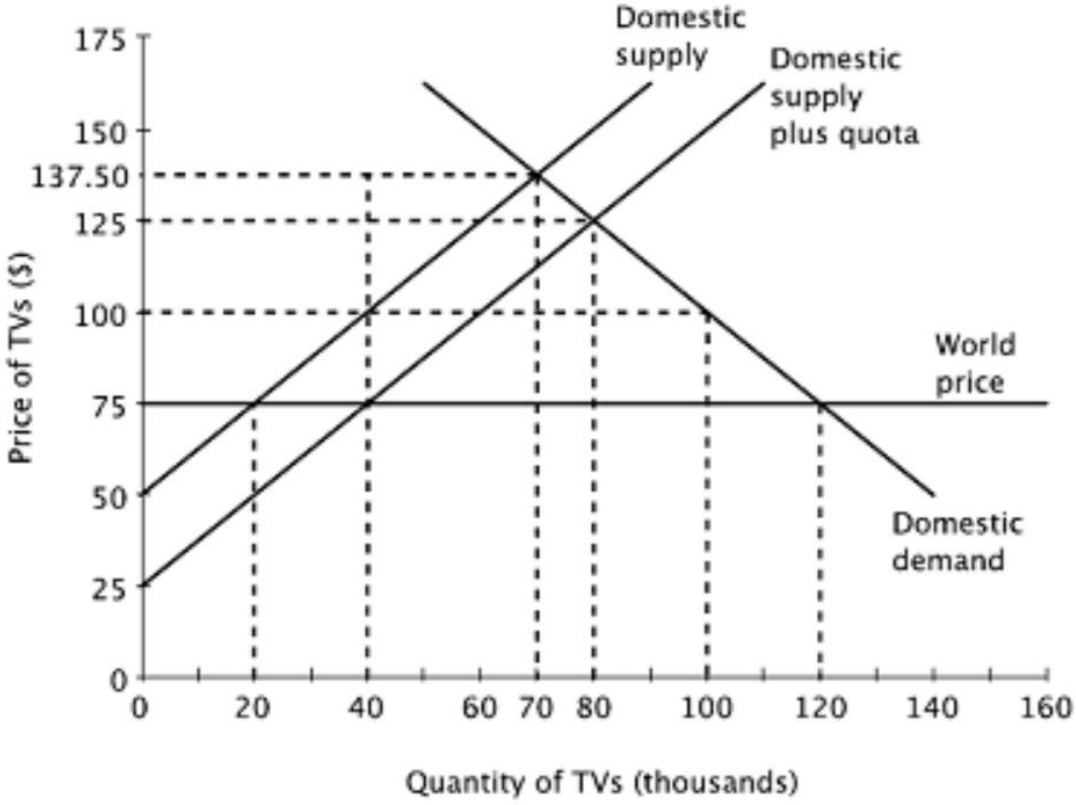
Group 5 Presentation Questions

Individual written assignment for each member of Group 5: Questions 5.1, 5.2 and 5.3

Question 5.1

Suppose country Z is a small country where all buyers and sellers there are price takers. The figure below shows the domestic demand and domestic supply curves of television (TV) market in country Z. The country is open for international trade.



i) Under international free trade, explain why country Z will import televisions.

ii) Calculate the number of televisions that country Z will import under international free trade.

iii) What is the amount of producer surplus in country Z under international free trade? Show all the steps of calculation.

iv) Country Z government intervenes in international trade by imposing an import quota of 20,000 televisions. State the intended effect of such government intervention.

v) The "Domestic supply plus quota" curve is not plotted correctly in the diagram. Plot the correct domestic supply curve plus quota (label it as ***S + quota***) in the diagram above.

vi) What is the amount of quota rent? Show all the steps of calculation.

Question 5.2

Suppose country A is a small country where all buyers and sellers are price takers.

Below are the market demand and market supply equations of handbag in country A which P is the price per handbag and Q is the number of handbags per year.

Qd = –2P + 40,000

Qs = 46P + 6,400

a) Without international trade, what are the equilibrium price and equilibrium quantity of handbags in country A? Show all the steps of calculation.

Now country A is open for international trade. The world price per handbag is $600.

b) How many handbags does country A import under international free trade? Show all the steps of calculation.

To protect the local producers under international trade, country A government plans to impose tariff on imported handbags.

c) In order to decrease the import amount by 25% per year, what is the amount of per-unit tariff that the government should impose on imported handbags? Show all the steps of calculation.

d) What is the amount of tariff revenue? Show all the steps of calculation.

e) What is the amount of consumer surplus under tariff? Show all the steps of calculation.

f) "*The imposition of tariff is beneficial to country A as a whole because the government can receive tariff revenue.*" Explain whether the statement is true or false.

Question 5.3

The electric generator market in Egypt is represented by the following equations:

$$Qd = 10000 - 10P$$

$$Qs = 1000 + 10P$$

a) Suppose the current world price of electric generators is US$300. If the Egyptian government introduces a US$100 tariff on imported electric generators, what will be the price of an electric generator in Egypt? What will be the quantity of electric generators produced in Egypt and quantity imported into Egypt? What will be the government's tariff revenue?

b) Who will gain and who will lose due to the above tariff? Calculate the changes in their surpluses. What will be the deadweight loss due to the tariff? Illustrate the situation with a diagram.

Question 5.4

Select one newspaper or magazine article (no earlier than year 2021) about the recent development in international trade or globalization. Briefly introduce the article content. Then explain how the knowledge that you have learnt in Topic 5 can be applied in the selected article.